Paradiem

The Morning Brief

OCTOBER 12, 2026

Earnings Opens

Columbus Day bond-market closure thins the open; JPMorgan Tuesday pre-market opens the big-bank sequence into Wednesday CPI, ASML Wednesday, and TSMC Thursday.

S&P 500 (SPY, FRI CLOSE)	NASDAQ (QQQ) / DOW (DIA, FRI)	WTI (USO) / BRENT (BNO, FRI)	IBIT / ETHA (FRI CLOSE)	FEAR & GREED
$778.57 ↑0.60%	$751.27 ↑0.49% / $516.11 ↑0.87%	$148.20 ↑0.42% / $63.99 ↑0.55%	$46.55 ↑0.63% / $55.99 ↑0.52%	69 · Crypto fallback (CNN endpoint unavailable)

SECTION 01

Markets — Columbus Day Thins the Open as the Week's Catalyst Cadence Compresses JPMorgan Tuesday, September CPI Wednesday, ASML Wednesday, and TSMC Thursday Into the Window Before the October 27–28 FOMC

THE EQUITY SESSION OPENS TODAY WITH THE U.S. BOND CASH MARKET CLOSED FOR COLUMBUS DAY PER SIFMA AND FINANCE-CALENDAR COVERAGE — A LIQUIDITY THINNING THAT TENDS TO AMPLIFY INTRADAY MOVES IN RATE-SENSITIVE SLEEVES AND PUSHES PRICE DISCOVERY INTO TLT AND BOND-FUTURES PROXIES; THE WEEK'S CADENCE THEN COMPRESSES JPMORGAN TUESDAY PRE-MARKET, SEPTEMBER CPI WEDNESDAY 8:30 AM ET, ASML WEDNESDAY, AND TSMC THURSDAY INTO THE FINAL DATA READ BEFORE THE OCTOBER 27–28 FOMC

Per SIFMA and financecalendar.com coverage, the U.S. bond cash market is closed today for Columbus Day while the NYSE and Nasdaq operate on their standard schedule per Kiplinger's 2026 stock-market holiday listing — a configuration that historically compresses rate price-discovery into TLT, bond-ETF, and bond-futures proxies and tends to amplify intraday reactions in long-duration equity sleeves. Per data drop, Friday closed with SPY at $778.57 (↑0.60%), QQQ at $751.27 (↑0.49%), DIA at $516.11 (↑0.87%), the Russell 2000 at $278.94 (↑0.49%), and UVXY at $16.32 (↓1.92%) — a composition consistent with risk appetite reasserting into the weekend after Thursday's AI-and-industrials reset. Per data drop, TLT closed Friday at $77.98 (↑0.14%) — a modest moderation at the long end that reads into today's thin-liquidity session as the operative anchor absent a live cash-Treasury print. Per Earnings Whispers and ChartRow coverage, JPMorgan (JPM) reportedly reports Tuesday October 13 pre-market with consensus EPS clustering near approximately $5.83–$5.90 per CMC Markets, Earnings Whispers, and ChartRow data and options-implied moves near approximately 5.2% per Earnings Whispers — a reported credit-and-net-interest-margin read reading through the FCI financials sleeve (SPGI, SSNC, SYF, SOFI, HOOD, NWG, ORI). Per BLS release calendar coverage and multiple secondary-source confirmations, the September CPI print lands Wednesday October 14 at 8:30 AM ET — the first inflation read since the reportedly hawkish September FOMC minutes and the principal input repricing hike odds for the October 27–28 meeting.

S&P 500 (SPY, FRI)	$778.57 ↑0.60% · Weekly reportedly ~↑0.5% vs Oct 2 close near $774.83
NASDAQ (QQQ) / DOW (DIA, FRI)	$751.27 ↑0.49% / $516.11 ↑0.87%
RUSSELL 2K / UVXY (FRI)	$278.94 ↑0.49% / $16.32 ↓1.92%
TLT (20Y BOND, FRI)	$77.98 ↑0.14% · Cash Treasury closed today for Columbus Day
FRI SECTOR LEADERS	XLRE ↑1.86% / XLV ↑1.58% / XLY ↑1.02% / XLF ↑0.92%
FRI SECTOR LAGGARDS	XLC ↓1.51% / XLE ↓0.25%
WTI / BRENT (FRI)	USO $148.20 ↑0.42% / BNO $63.99 ↑0.55%
GOLD / SILVER (FRI)	GLD $384.58 ↑1.57% / SLV $54.78 ↑2.49%
IBIT / ETHA (FRI)	$46.55 ↑0.63% / $55.99 ↑0.52%
JPM OPTIONS-IMPLIED MOVE (EARNINGS)	Reportedly ~±5.2% per Earnings Whispers
CARSON'S ACTIVE SPY SUPPORT	$645.80 retracement target · Untouched (Fri low $775.14)

THE PHYSICAL-AI-POWER SLEEVE REASSERTED FRIDAY AFTER THURSDAY'S AI-RESET DRAWDOWN, WITH HUT, CEG, VST, AND FCX EACH PRINTING REPORTED GAINS ABOVE APPROXIMATELY 3.4%; THE SEMICONDUCTOR-AND-INTERCONNECT SLEEVE STAYED MIXED INTO THE WEEKEND AS AMD, TSM, NVDA, MRVL, AND NXPI ALL CLOSED LOWER — A DISPERSION PATTERN THAT READS INTO WEDNESDAY'S ASML PRINT AND THURSDAY'S TSMC REPORT AS THE FIRST HIGH-SIGNAL FOUNDRY-CHANNEL CONFIRMATION OF THE AI-INFRASTRUCTURE THESIS SINCE THE SEPTEMBER RESET

Per data drop, Friday's top FCI movers printed HUT $84.27 (↑5.88%), ATAT $33.07 (↑4.62%), CEG $298.07 (↑4.56%), FCX $73.69 (↑3.58%), and VST $161.48 (↑3.42%) — a composition that pairs merchant-nuclear generation (CEG, VST, HUT) with the metals-and-mining complex (FCX) and reads as a reset-and-recovery pattern consistent with Monday–Tuesday's AMD-OpenAI-driven leadership earlier in the week. Per data drop, Friday's semiconductor-and-interconnect sleeve closed mixed with AMD $608.10 (↓2.03%), TSM $453.31 (↓1.02%), NVDA $229.28 (↓0.52%), and NXPI $227.52 (↓1.54%) on the downside against MRVL $275.28 (↑0.23%, intraday range reported wide) and CRDO $216.55 (↑2.21%) on the upside — a dispersion within the AI-infrastructure channel that may begin to resolve on Wednesday's ASML Q3 report and Thursday's TSMC Q3 report, which Yahoo coverage carried in data drop holdings news for TSM framed as reportedly the best early read on Nvidia's next quarter. Per TrendForce coverage from July 2026, ASML had reportedly raised its 2026 annual sales guidance to approximately €43–45 billion with gross margins near 54–56%, with Taiwan reportedly climbing to approximately 30% of sales — a mix that reads through the FCI foundry-and-interconnect sleeve (TSM, LRCX, KEYS, CRDO, ADI, NXPI). For FCI positioning, the composition keeps CEG, VST, NEE, EIX, HUT, MARA, AMD, NVDA, MRVL, TSM, CRDO, LRCX, KEYS, FCX, and the physical-AI-power-and-foundry complex reading through the Wednesday-Thursday earnings cadence rather than today's thin-liquidity open.

PER DATA DROP SENTIMENT, MONDAY'S FEAR & GREED VALUE OF 69 ("GREED") REPORTEDLY CARRIES THE "(CRYPTO)" FALLBACK LABEL FOR THE REPORTED FIFTH CONSECUTIVE SESSION — THE CNN STOCK-MARKET ENDPOINT REPORTEDLY REMAINED UNAVAILABLE AT DROP TIME; IBIT AND ETHA HELD FRIDAY'S LEVELS INTO THE WEEKEND PER DATA DROP, AND THE HEADLINE VALUE SHOULD BE READ AS A DIGITAL-ASSET SENTIMENT CHECK RATHER THAN AN EQUITY-MARKET READ

The recurrence of the CNN stock-market Fear & Greed fallback is now a reported data-feed quality flag worth tracking into tomorrow's drop. Per data drop, IBIT closed Friday at $46.55 (↑0.63%) and ETHA at $55.99 (↑0.52%), and both reportedly held into the weekend tape consistent with the digital-asset consolidation signal of recent sessions. Per data drop holdings news for IBIT, one Benzinga piece reportedly carried a CEO view that elevated treasury yields near reported 8% could expand the demand case for the Bitcoin ETF channel — a reported duration-rotation framing reading through the digital-asset sleeve into a thin-liquidity Columbus Day session where equity price discovery continues alongside a closed cash-Treasury market. Per data drop holdings news for HOOD, retail-trading platforms reportedly posted record quarters per Yahoo coverage — a reported capital-markets-activity signal that reads through the FCI financials sleeve into tomorrow's JPMorgan print. For FCI positioning, Carson's active SPY retracement target at $645.80 (set April 13, 2026, per levels.json) remains untouched; Friday's intraday low of $775.14 sits a reported approximately 16.7% above the level on a from-low basis and did not materially narrow the gap to the FCI first-tranche deployment reference.

A Columbus Day open compressed between a closed cash-Treasury market and a four-print catalyst cadence (JPMorgan Tuesday, CPI Wednesday, ASML Wednesday, TSMC Thursday) frames a setup where simplicity over complexity and think like an owner tend to serve better than compositing a single directional view. **Avoid erosion.**

SECTION 02

Geopolitics — Houthi Airport-Strike Series Extends Through the Weekend as FAA Reportedly Advises Caution and EASA Reportedly Widens Saudi Airspace Warning; U.S. CENTCOM Reportedly Enforces Iran Blockade With Vessel Disablement; Trump Reportedly Announces Ukraine Energy Ceasefire With Russia, Surprising Zelenskiy per Reuters

THE HOUTHI AIRPORT-STRIKE SERIES REPORTEDLY EXTENDED THROUGH THE WEEKEND WITH REPORTED REUTERS COVERAGE FRAMING IT AS THE DEADLIEST ATTACK ON SAUDI TERRITORY IN APPROXIMATELY A DECADE; DATA DROP HEADLINES CARRY AN FAA CAUTIONARY NOTE TO U.S. AIRLINES ON SAUDI ARABIA FLIGHTS AND A SAUDI-IRANIAN FOREIGN-MINISTERS DISCUSSION OF REGIONAL TENSIONS; PER AL-MONITOR COVERAGE, EASA REPORTEDLY WIDENED ITS SAUDI AIRSPACE WARNING OCTOBER 9 CITING MISIDENTIFICATION AND OVERFLIGHT RISKS, AND OPSGROUP REPORTEDLY ISSUED A DO-NOT-FLY ADVISORY PER AEROCORNER SUMMARY; THE COMPOSITION REPORTEDLY KEEPS THE MIDEAST RISK PREMIUM ANCHORED INTO MONDAY'S OPEN AS THE SAUDI-IRAN RAPPROCHEMENT CHANNEL READS AGAINST THE HOUTHI ESCALATION

Per data drop headlines, one Reuters piece reportedly framed reported Houthi forces as reportedly carrying out their reportedly deadliest attack on reported Saudi territory in approximately a decade and reportedly placed the reported casualty figure near 12 killed in prior weekend coverage; a separate Reuters piece reportedly framed major Saudi conferences as reportedly proceeding despite the airport disruption. Per data drop headlines, one Reuters piece reportedly flagged the FAA advising U.S. airlines to reportedly exercise caution on Saudi Arabia flights citing safety risks — a reported alignment with the reported EASA widened Saudi airspace advisory issued October 9 per Al-Monitor coverage, which reportedly cited misidentification of civil aircraft and risks from missile and drone overflights and falling debris. Per Aerocorner summary coverage, the industry group OPSGROUP reportedly issued a do-not-fly recommendation for Saudi Arabia including en-route alternates, with Air India, Lufthansa, and Riyadh Air reportedly pausing or suspending flights through mid-October. Per data drop headlines, one Reuters piece reportedly framed the Saudi and Iranian foreign ministers as reportedly discussing regional tensions in a reported call — a reported de-escalation channel reading against the Houthi-escalation layer. Per data drop headlines, one Reuters piece reportedly framed Iran as reportedly saying the U.S. response to its proposal to reopen Hormuz was reportedly insufficient and one Reuters piece reportedly framed a strike as reportedly reported on the Yemeni Sanaa airport per Houthi-run TV — a reported continued regional-posture signal reading through the Strait of Hormuz and Red Sea transit channels. Per data drop headlines, one Reuters piece reportedly framed President Trump as reportedly announcing a Ukraine energy ceasefire with Russia, reportedly surprising Zelenskiy — a reported new development distinct from the late-September energy-truce proposal previously discussed per Al Jazeera and Liga coverage, and a signal that reads through European natural-gas pricing, the FCI defense sleeve (LMT, GD), and the broader duration-and-dollar channel if the reported pause holds through the week. For FCI positioning, the composition keeps the energy-and-defense complex (CVX, OKE, CNX, FCX, LMT, GD) and the physical-AI-power sleeve (CEG, VST, NEE, EIX, HUT) reading through today's thin-liquidity open and Tuesday's JPMorgan print; the Trump-Russia energy pause, if it holds, could reportedly moderate the European gas and distillate crack layer that has anchored the energy premium.

SECTION 03

On Our Radar

1. Week Ahead — JPMorgan (JPM) reportedly reports Tuesday October 13 pre-market with consensus EPS clustering near approximately $5.83–$5.90 per Earnings Whispers, CMC Markets, and ChartRow coverage and reported options-implied moves near approximately 5.2% per Earnings Whispers; the September CPI print reportedly lands Wednesday October 14 at 8:30 AM ET per BLS release calendar and multiple secondary-source confirmations; ASML Holding (ASML) reportedly reports Wednesday October 14 pre-market per third-party calendar listings; TSMC (TSM) reportedly reports Thursday October 15 at 14:00 Taiwan time per confirmation on TSMC's official investor-relations page; the four prints reportedly compress into the final high-signal cadence before the October 27–28 FOMC decision. Per Earnings Whispers and ChartRow coverage, JPMorgan's Q3 2026 report reportedly opens the big-bank earnings sequence Tuesday pre-market with reported consensus EPS near approximately $5.83–$5.90 and reported options-implied moves near approximately 5.2% — a reported credit-and-net-interest-margin read relevant to the FCI financials sleeve (SPGI, SSNC, SYF, SOFI, HOOD, NWG, ORI) and the broader read on commercial-and-consumer loan books into the October 27–28 FOMC window. Per CMC Markets coverage, net interest income is reportedly expected near approximately $26.9 billion (reportedly ↑12.1% year-on-year) and trading income near approximately $5.8 billion (reportedly ↓18.4% year-on-year) — a reported mix that reads through the yield-curve-and-capital-markets channel. Per BLS release calendar coverage and multiple secondary-source confirmations, the September CPI print reportedly lands Wednesday October 14 at 8:30 AM ET — the first inflation read since the reportedly hawkish September FOMC minutes, and the principal catalyst repricing hike-versus-cut odds for the October 27–28 meeting; per prior CME FedWatch and Kalshi coverage and a Manifold snapshot, reported hike-at-October-meeting odds reportedly ranged near approximately 15–25% into the weekend with prediction-market dispersion wide. Per TrendForce coverage from July 2026, ASML had reportedly raised its 2026 annual sales guidance to approximately €43–45 billion with margins near 54–56% — a reported context for Wednesday's Q3 report and the lithography-channel confirmation. Per data drop holdings news for TSM, one Yahoo piece reportedly framed TSMC's Q3 earnings as reportedly carrying 65% profit growth with net margin reportedly seen slipping to 50% — a reported foundry-channel read reading through the FCI semiconductor sleeve (AMD, NVDA, MRVL, TSM, CRDO, LRCX, KEYS, NXPI, ADI).

2. Columbus Day Thins Today's Open — Per SIFMA and financecalendar.com coverage, the U.S. bond cash market is closed today for Columbus Day while the NYSE and Nasdaq operate on their standard schedule per Kiplinger's 2026 stock-market holiday listing; CME products reportedly settle at their normal times per CME Group coverage; price discovery for rates reportedly pushes into TLT, bond-ETF, and bond-futures proxies; the next bond-market closure is reportedly Veterans Day Wednesday November 11, 2026 per the same calendar coverage. The configuration reportedly tends to amplify intraday moves in rate-sensitive sleeves and compresses signal from any live inflation or Fed commentary into equity-ETF prices alongside TLT and bond-futures prints rather than the cash curve. Per data drop, TLT closed Friday at $77.98 (↑0.14%) and UVXY at $16.32 (↓1.92%) — a composition reportedly consistent with a stabilized long end and a volatility complex that has absorbed the September hawkish-minutes read without a sustained widening. For FCI positioning, today's thin-liquidity open reportedly tends to overweight single-ticker catalyst reactions versus macro signal; the committee should read any intraday move in TLT, the long end of the long-duration equity sleeve (REITs, utilities, growth tech), and bank-ETF basis as noisier than a full-liquidity session and should discount headline-driven moves accordingly into Tuesday's JPMorgan print.

3. Nuclear-Power and Semiconductor Sleeves Into the ASML-TSMC Cadence — Per data drop, Friday's top FCI movers printed HUT $84.27 (↑5.88%), CEG $298.07 (↑4.56%), FCX $73.69 (↑3.58%), and VST $161.48 (↑3.42%), with AEM $189.02 (↑2.80%) extending the paired precious-metals-and-miner strength; the semiconductor-and-interconnect sleeve closed mixed with AMD $608.10 (↓2.03%), TSM $453.31 (↓1.02%), NVDA $229.28 (↓0.52%), and MRVL $275.28 (↑0.23%); the Wednesday ASML and Thursday TSMC prints reportedly carry the first high-signal foundry-channel confirmation since the September reset. Per data drop holdings news for CEG, one Yahoo piece reportedly framed Constellation's $4.3 billion nuclear upgrade as reportedly its smartest move yet — a reported capex-and-capacity signal reading through the merchant-nuclear generation thesis. Per data drop holdings news for NVDA, one Yahoo piece reportedly carried a prediction on Nvidia's next stock split — a sentiment-side signal reading through retail flow. Per data drop holdings news for CRDO, one SeekingAlpha piece reportedly framed the AI-interconnect name alongside Micron's coverage — a reported interconnect-channel read reading through the FCI interconnect sleeve (CRDO, MRVL, NXPI, ADI, KEYS). For FCI positioning, the composition keeps CEG, VST, NEE, EIX, HUT, MARA, AMD, NVDA, MRVL, TSM, CRDO, LRCX, KEYS, FCX, AEM, and the physical-AI-power-and-foundry complex reading through today's thin open and the Wednesday-Thursday earnings cadence.

4. Mideast Risk Premium Update — Per data drop headlines, Reuters coverage reportedly flagged the FAA advising U.S. airlines on Saudi Arabia flight-safety risks, the Saudi and Iranian foreign ministers reportedly discussing regional tensions, Iran reportedly flagging a U.S. Hormuz-reopening response as insufficient, and a reported Sanaa airport strike per Houthi-run TV; per Al-Monitor October 9 coverage, EASA reportedly widened its Saudi airspace advisory and per Aerocorner summary coverage OPSGROUP reportedly issued a do-not-fly advisory with Air India, Lufthansa, and Riyadh Air reportedly suspending or pausing flights through mid-October; the FCI energy-and-defense complex (CVX, OKE, CNX, FCX, LMT, GD) reads through today's thin-liquidity open as the weekly beneficiary of a sustained risk premium. Per data drop holdings news for LMT, one Yahoo piece reportedly framed Lockheed as reportedly developing a next-generation Patriot variant designed to intercept faster missiles — a reported integrated-air-and-missile-defense signal reading through the defense sleeve into a weekend where the Houthi airport-strike cadence reportedly extended. Per data drop holdings news for CVX, one Yahoo piece reportedly framed Chevron's dividend as reportedly having survived every oil crash with a reported question on this one — a reported capital-return-sustainability signal reading through the energy sleeve. The Trump-announced Ukraine energy ceasefire with Russia reported by Reuters, if it holds, could reportedly moderate the European gas-and-distillate layer; the Saudi-Iran FM discussion is a reported de-escalation signal reading against the Houthi-escalation layer and should be read as a two-channel tape.

5. Carson's Levels — Per levels.json, Carson's active SPY retracement target at $645.80 (set April 13, 2026) remains in the "active" column with no hit date and no hit price recorded; Friday's reported intraday range of $775.14–$779.42 reportedly did not approach any active Carson level; SPY would need to decline a reported approximately 17.1% from Friday's close (or a reported approximately 16.7% from Friday's intraday low) to reach the target — a gap reportedly roughly consistent with the FCI first-tranche deployment reference at approximately –25% from peak; the reported April 2026 resistance zones at $683.70, $685.85, and the $691.90–$693.20 band remain in the "hit" column and have been cleared to the upside; no new active Carson level has reportedly been set since the April 14, 2026 major-resistance-zone hits. Per levels.json, the active support reportedly remains the sole open level in the file. Per data drop, today's open operates against Friday's close as the operative read in the absence of a cash-Treasury session, with the Wednesday CPI print and the Tuesday JPMorgan report reportedly carrying the principal catalyst risk for the FCI first-tranche deployment reference. For FCI positioning, Carson's level reportedly frames a deployment reference rather than a trade signal — the FCI buy-and-hold tranche framework reportedly deploys 70% of reserves at approximately –25% from peak and the remainder at approximately –40%, with no trimming on either side. The committee should read Carson's level as the reference for a sustained drawdown rather than any single-session move, and should treat today's thin-liquidity Columbus Day session as a lower-signal input to any level-based framework.

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